

Labour supply



Decisions about how much to work can be thought of as a choice between consumption and leisure. How does a worker respond to an increase in her wages? Intuitively one might think that she would work more: an hour of leisure has become more costly in terms of the wages lost, and therefore the consumption that she must give up, so she takes less leisure time and works more.

But with a higher wage, the worker has become richer: she can afford more leisure, and so may therefore work less. It is possible that the second effect might outweigh the first, in which case the overall effect of the higher wage has been to make the worker work less. And this outcome is not just a theoretical possibility: over the last couple of centuries the length of the working week in the industrialized world fell even as wages were rising considerably. As workers got richer, they used their greater wealth to take more leisure.